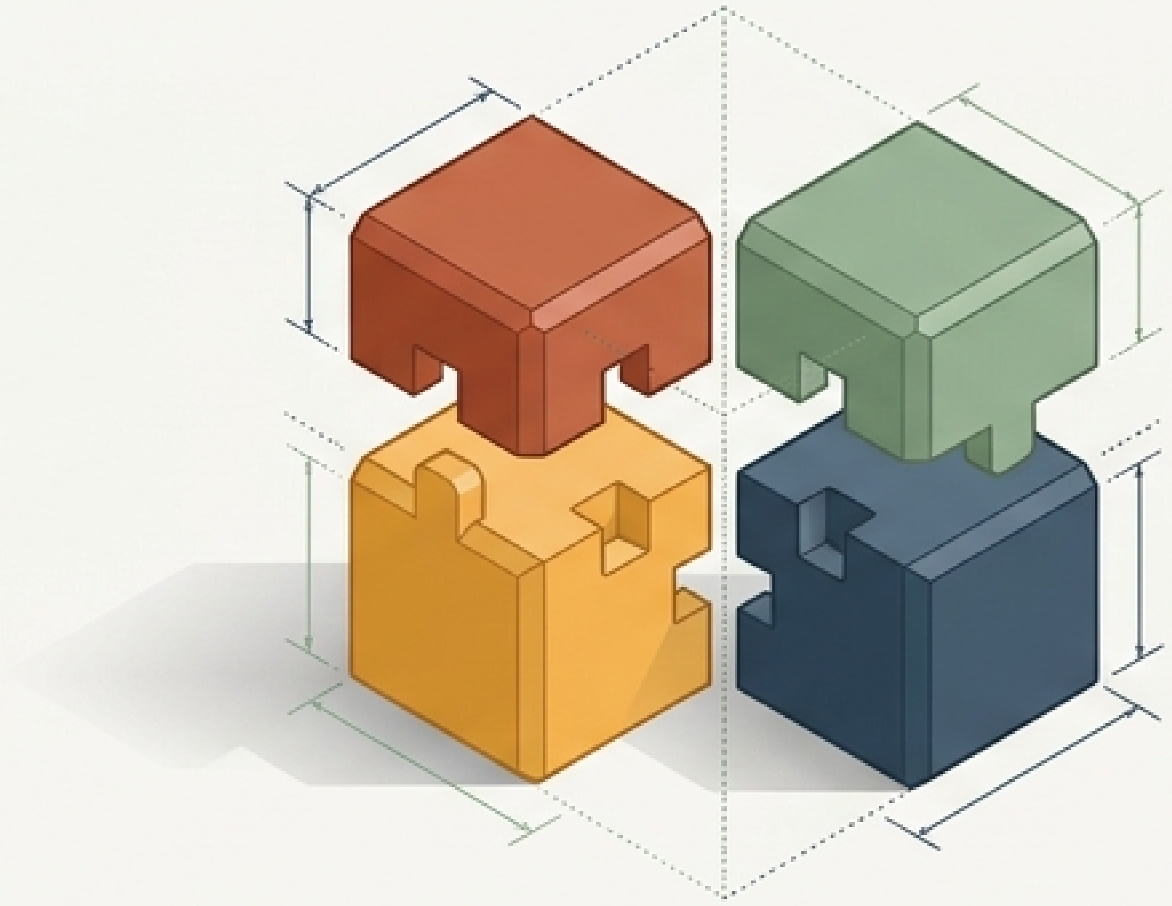
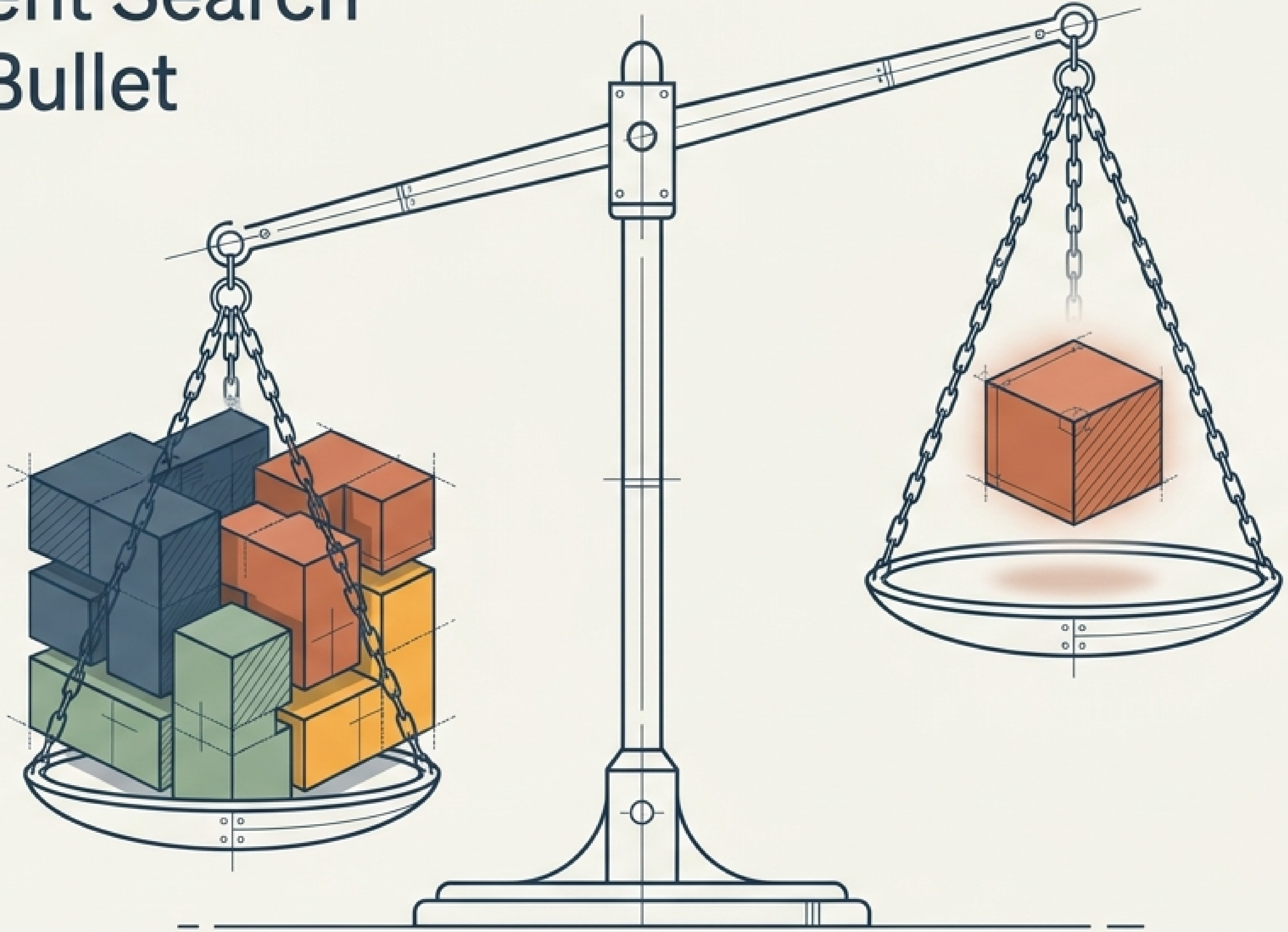
The Blueprint of Poverty Alleviation

Unpacking the Graduation Model



A diagnostic review of a multi-year Randomized Controlled Trial in Ghana assessing whether multifaceted poverty programs are strictly necessary, or if isolated interventions can achieve the same economic transformation.

The Persistent Search for a Silver Bullet



The Graduation Model

Proven to durably unleash productive potential, but expensive and complex to scale.

Single Interventions

The policy dream: Can we strip the engine down to just an asset transfer or just a bank account?

This deck takes apart the working engine of the Graduation program to see if it can run on just one cylinder.

The Unbundling Experiment: Isolating the Components

Interventions Matrix	Asset Transfer (4 Goats)	Consumption Support (Stipend)	Coaching (24 Months)	Savings Account	Savings Match (50%)
Full GUP (Graduating from Ultra Poverty)					
SOUP (Savings Only)					
Asset-Only					

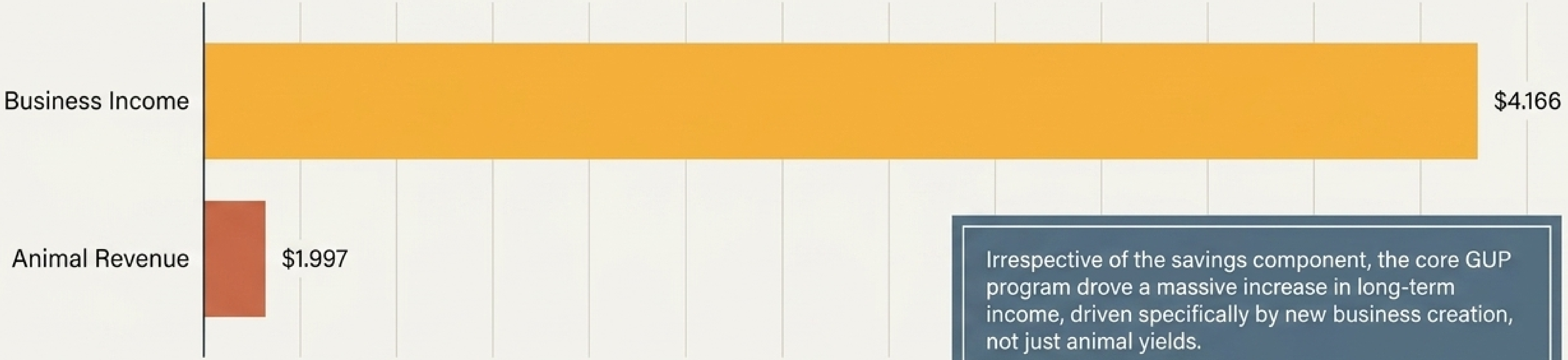
By testing isolated components against the fully loaded program, the Ghana RCT provides a diagnostic view of exactly why anti-poverty engines stall or succeed.

The Three-Year Verdict: Only Synergies Survive

Full GUP	Savings-Only / SOUP	Asset-Only
Income Index	Income Index	Income Index
Business Revenue	Business Revenue	Business Revenue
Financial Inclusion	Financial Inclusion	Financial Inclusion
	Short-term bump at Year 2, but no lasting long-term welfare gain.	No positive welfare or consumption effects compared to the control group.

Striping down the graduation model eliminates its effectiveness. Single interventions failed to produce durable economic transformation.

The Full Engine: Driving Sustainable Business Creation

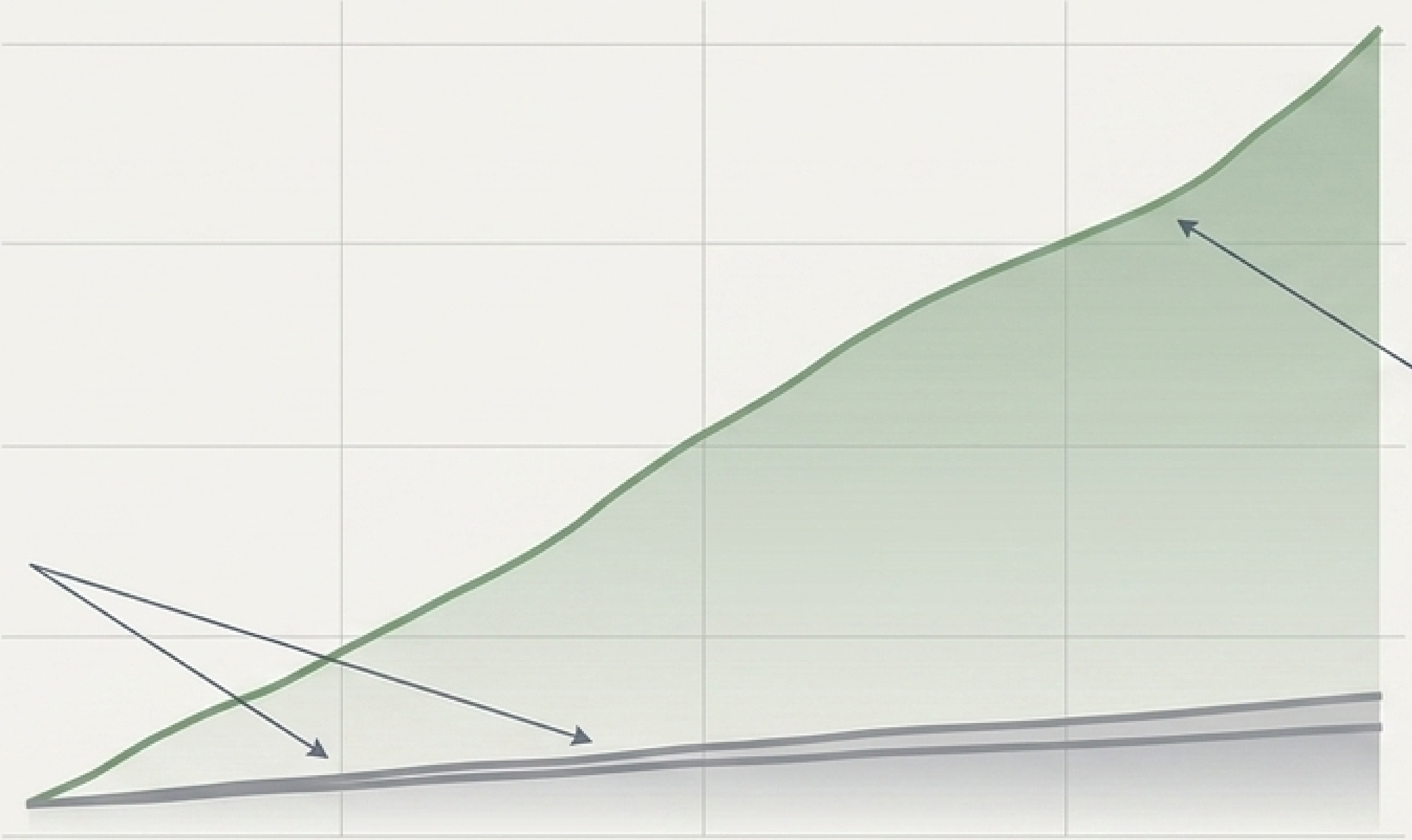


Irrespective of the savings component, the core GUP program drove a massive increase in long-term income, driven specifically by new business creation, not just animal yields.

Risk Tolerance for New Enterprise

The Savings Illusion: An Empty Vessel

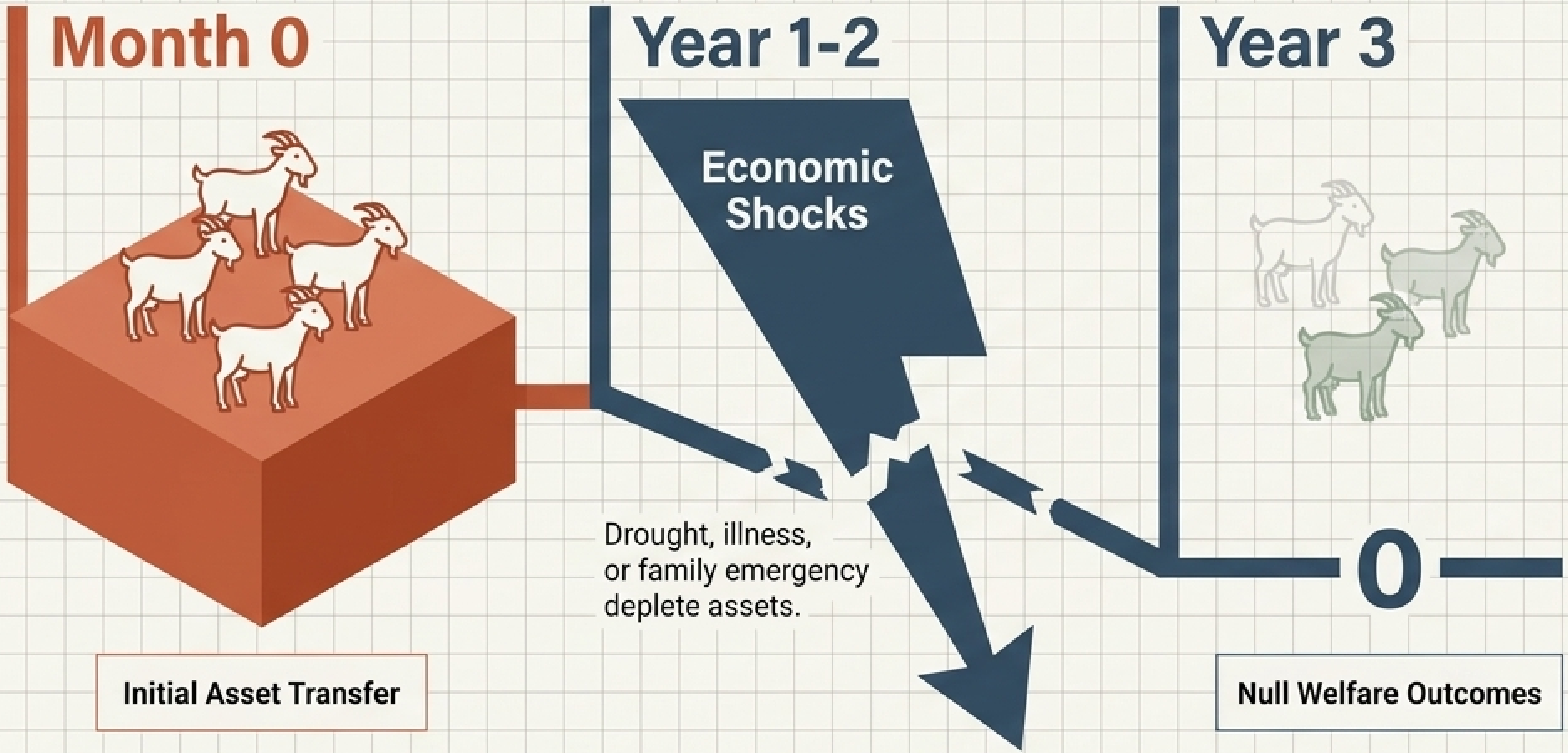
Did access to a deposit collector or a 50% match build wealth? No.



Households require baseline earnings before they can save enough to escape poverty.

A bank account without a foundational income stream improves short-term financial inclusion but fails to spark profitable, self-sustaining businesses.

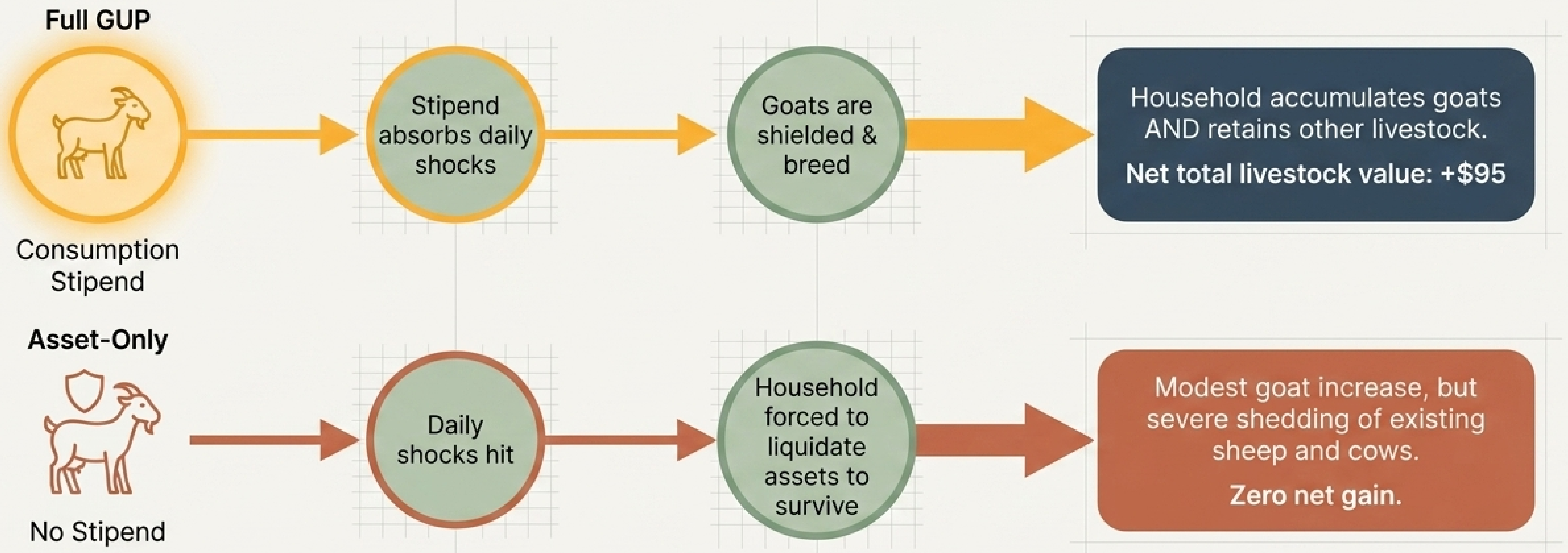
The Asset Trap: Unprotected Capital Disappears



Did simply handing a family 4 goats build sustainable wealth?

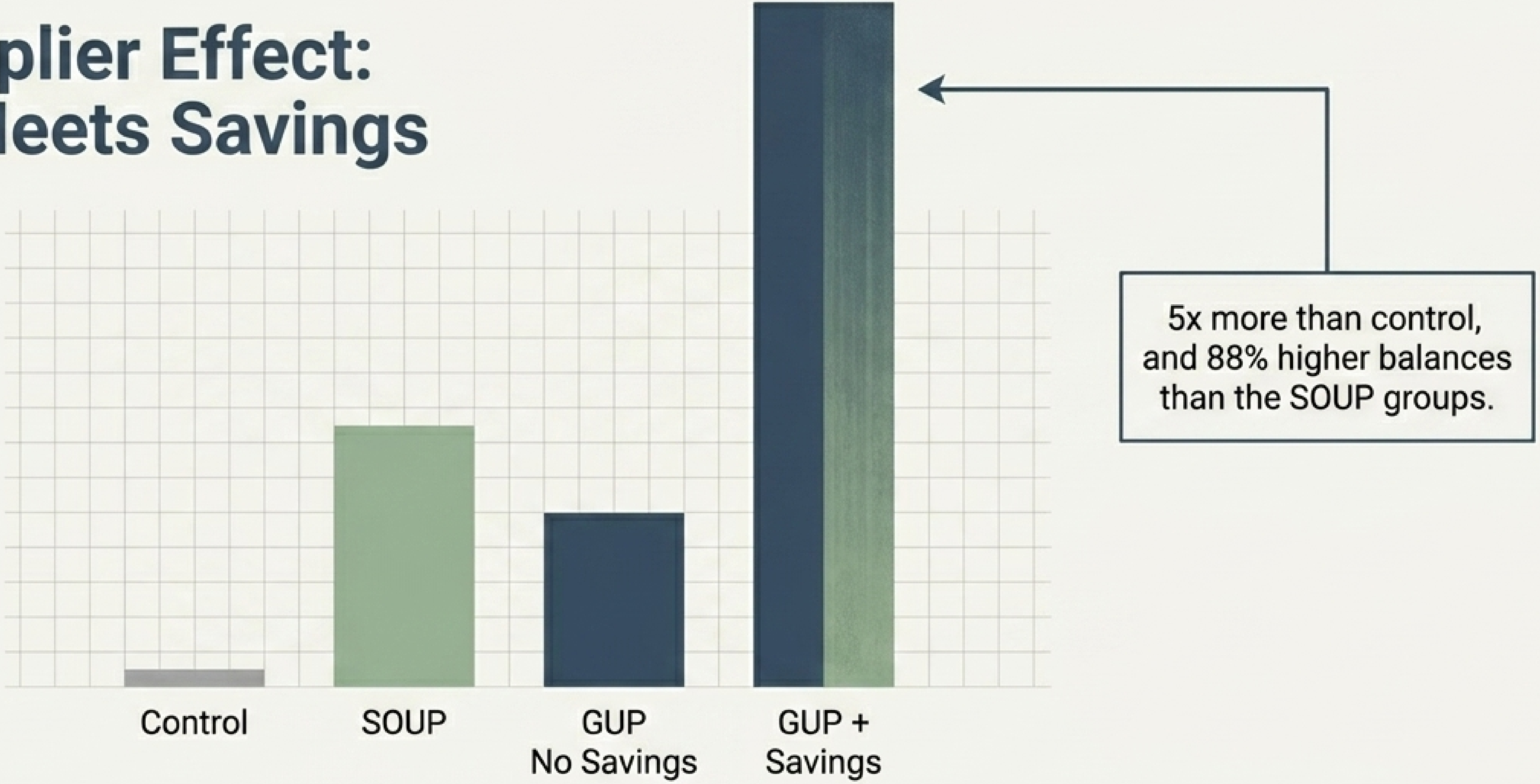
By Year 3, Asset-Only showed zero improvements in income, consumption, or overall welfare compared to the pure control group.

Diagnostic: Where Did the Goats Go?



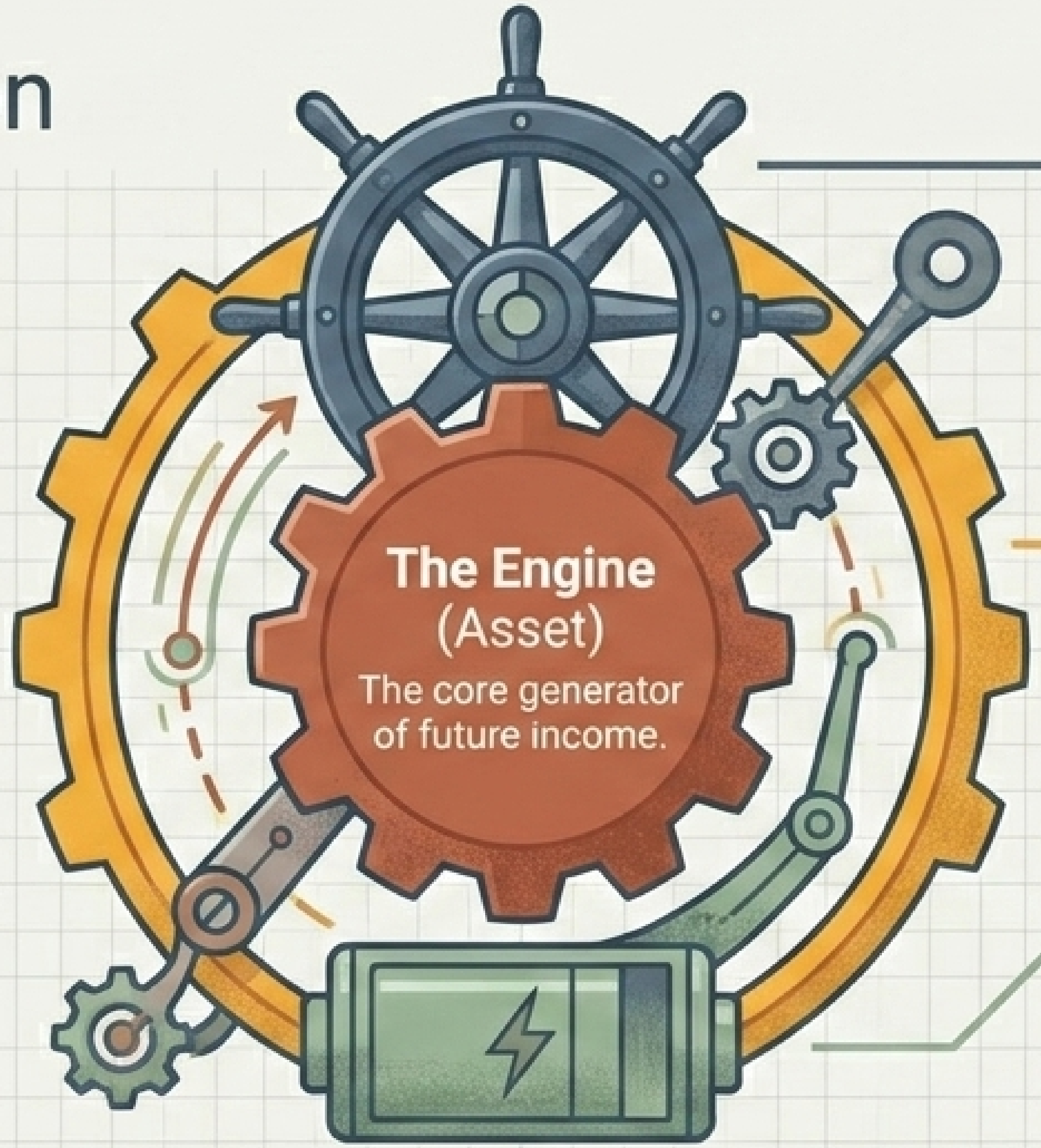
Without a consumption safety net, productive assets are liquidated for immediate survival rather than bred for future wealth.

The Multiplier Effect: Income Meets Savings



The components are not merely additive; they are highly complementary. Adding a savings collector to a household that now has an income engine creates a massive wealth multiplier.

Synthesis: The Graduation Equation



The Vulnerability Shield Diagram

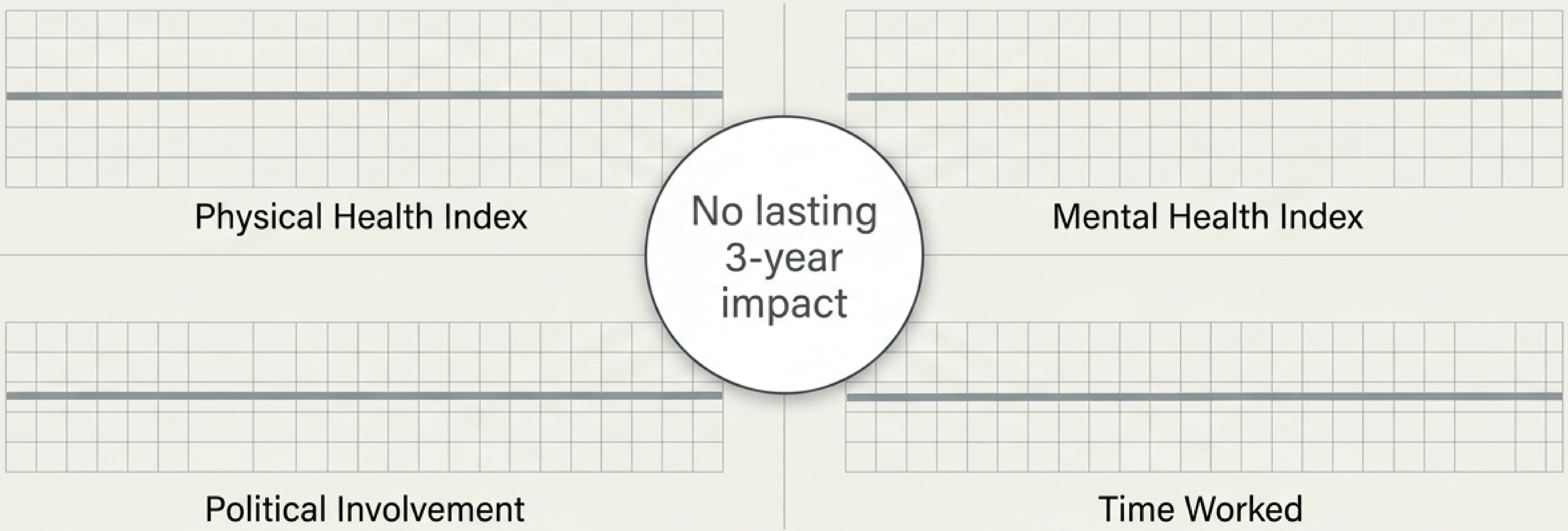
The Steering Wheel
(Coaching)
Providing the map to avoid business mistakes.

The Shield
(Consumption Support)
Absorbing short-term shocks to prevent immediate liquidation.

The Battery
(Savings)
Storing newly generated momentum to survive future shocks.

Removing even one component breaks the chain. An engine without a shield gets destroyed; a battery without an engine stays empty.

Program Boundaries: What Didn't Change



A sober look at the limitations. Severe poverty involves intersecting vulnerabilities. While the Graduation Model solves the economic equation, solving deeply entrenched health and and psychological deficits requires distinct, targeted clinical interventions.

Implications for Policy and Scale

1. Synergies are Non-Negotiable

Governments cannot safely strip the graduation model down to just cash, just assets, or just bank accounts if they expect durable poverty alleviation. The magic is in the bundle.

2. The Ultra-Poor Need Scaffolding

Handing out capital without consumption support is a trap. Assets will be eaten by emergencies before they can generate returns.

3. Innovate on Delivery, Not Design

Future innovations must focus on delivering this complex bundle more efficiently (e.g., tech-enabled coaching or digital disbursements) rather than abandoning the bundle itself.